

Forest Produce, also lends itself to medicinal and herbal applications, and is a very important source of sustenance for forest dependent population. It is estimated that over 75% of forest export revenue comes from these sources.

◆ The societal benefits of agro-forestry outweigh that of many other sectors. One of the most important is in its role as an instrument of climate change mitigation. Potentially, by greening even 10 million hectares of degraded forest lands, nearly 500 million MT of carbon dioxide can be sequestered. This implies a compensatory sequestration for as much as 500 million MWh of electricity generated from fossil-fuels. Plantations also contribute to other ecological benefits in terms of arresting top soil erosion, and enabling greater ground water recharge.

◆ In addition, the livelihood creation potential of agro-forestry makes it an extremely important investment option for the country. For example, in wood pulp based plantations, every hectare of plantation creates approximately 450 person days of employment. Extrapolating this to cover the degraded forest lands estimated at 33 million hectares implies a potential of nearly 15,000 million mandays of employment. Taken together, the wood-based value chain, including plantations, has the potential to create sustainable livelihoods for nearly 100 million people.



Recognising these growth impulses, and the convergence of opportunity in meeting environmental, livelihood and energy security challenges, how can we ensure a conducive policy environment that will encourage agro-forestry programmes as also corporate involvement in this area?

The Policy Framework

Let me briefly touch upon some of these important policy imperatives.

□ Plantations, by their very nature, imply long gestation periods before they yield adequate returns on investment. For example, maturing of teak wood could take as long as a quarter century, while many other forms would need a growing-harvesting cycle of 5 to 10 years. Therefore, policy support and financing mechanisms will necessarily have to be longer term oriented. What is equally important is to protect such policies from any adverse mid-course changes that could impact the very viability of these long term projects.

□ The spirit of extant legislation in this sector is geared primarily to curtail the felling of trees, as opposed to facilitating the growing of renewable forests. Appropriate legislation that supports additional afforestation for commercial purposes would go a long way in realising the fullest potential of this sector in terms of sustainable livelihood creation and commercially supported forest cover formation.

□ Customs Duty on most wood imports is presently at 5%, despite a bound rate of 40% committed at the WTO. This does not encourage investment in agro-forestry in India. Tariff policy to promote agro-forestry will have to enable a larger corporate involvement in assisting farmers with R & D, extension services and linkages to markets. The direction of the current tariff policy, with lower applicable rates, is to make imported wood more attractive than the felling of trees in Indian forests. However, such a policy prevents livelihood creation in the country and “exports” that potential to the countries selling these products. Similarly, the environmental benefits that result from growing such plantations accrue to those countries.

□ To enable larger corporate involvement in renewable agro-forestry, and to promote linkages for commercial application, Industry must be permitted to use degraded forest land for afforestation. Such land would need to be offered on long lease at nominal terms to make agro-forestry a viable option for creating sustainable livelihoods. Concessional lease could be linked to commitments from industry relating to community involvement, employment generation over a time period, and ensuring availability of fuel wood. This would require enabling amendments to be made in the Forest Conservation Act, 1980 and the related Rules. Policies would also need to be devised to promote industrial plantations in the economic vicinity of mills through ownership, lease, contract farming or sustainable models of social farm forestry. This would require amendments to certain State laws relating to land use.



◆ In addition, creation of forests and natural parks has been known to boost eco-tourism and innovative initiatives here could also make it a source of sustainable livelihoods. Agro-forestry also supports a number of handicrafts, including wooden jewellery and gift items, potentially another revenue stream in appropriate areas.

The Prime Minister's Council on Climate Change recently unveiled its National Action Plan. As part of the 8 Missions announced, the National Mission for a Green India envisages the afforestation of 6 million hectares to enhance forest and tree cover to 33%. The Mission will be taken up on degraded forest lands with an initial corpus of Rs. 6000 crores. This is indeed a very welcome initiative. I understand that the Ministry of Environment and Forests had earlier estimated that nearly Rs. 70,000 crores would be necessary to enhance the tree cover to targeted dimensions. Given the massive investment requirements, larger corporate participation in renewable agro-forestry can not only multiply the initiative launched by the Prime Minister significantly, but with the right policy support, create tremendous value across the entire spectrum of the wood-based value chains.